

**Voluntary Report** – Voluntary - Public Distribution

**Date:** July 06, 2023

**Report Number:** BU2023-0011

## **Report Name:** Oilseeds and Products Market Update

**Country:** Bulgaria

**Post:** Sofia

**Report Category:** Oilseeds and Products

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### **Report Highlights:**

FAS Sofia updates its forecasts for Bulgarian production of oilseed crops in marketing year (MY)2023/24 to 2.48 million metric tons (MMT), based on improving prospects for average yields of rapeseed and sunflower. An unusually rainy and cooler spring led to favorable growing conditions but hampered timely sunflower planting and caused higher pest and disease pressure. In MY2022/23 Bulgaria preserved its position as the top European Union (EU) importer of price-competitive sunflower seeds from Ukraine, with a 38 percent share in total EU imports and kept increasing its crush. It also became the third largest EU importer of crude sunflower oil for further refining with 14 percent share. Due to accelerated exports of sunflower seeds in the last two months, Bulgaria is currently the second in the EU (45 percent share) in terms of exports of sunflower seeds. It leads with 62 percent of total EU exports of sunflower meal and 43 percent of EU exports of sunflower oil.

## Weather Overview

Bulgaria had an unusually rainy and cool spring season. Cool and wet weather was adequate for yield formation but increased pest and disease pressure. In the northern part of the country, the crop status is weaker-than-usual, mainly due to late sowing and delayed development of spring crops (sunflower). Bulgaria experienced significantly below-average temperatures during the first 20 days of May, with negative thermal anomalies reaching values between -1°C and -3.5°C. Later, the temperatures increased and near-seasonal daily temperatures were recorded in May 1 – June 12 period ([MARS June 2023 Bulletin Vol.31 №6](#)). The western regions enjoyed rainfall surplus, while the eastern areas were drier and warmer than usual. In the first half of June, little or no precipitation was observed in the eastern half of Bulgaria, but soil water availability remained adequate.

The colder-than-usual conditions of early May slowed down rapeseed crop development. However, significant May precipitation was beneficial and sustained high crop biomass accumulation, particularly in southern and eastern regions. Sunflower experienced serious delay in planting and growth by 1-3 weeks, due to cold and wet weather conditions during sowing and early development; however, current soil moisture conditions are highly beneficial. Subsurface moisture reserves have greatly improved and are significantly better than in the previous season.

Pest and disease pressure was high this spring which can negatively affect final yields. The forecasted yield for both rapeseed and sunflower is increased but is not expected to be a record. (See maps 1-9 [Crop Explorer](#) and [Bulgaria data](#)).

## MY2023/24 Forecast

Rapeseed: Rapeseed was planted in the optimal time window due to rains in August/September period and had a good start of the new crop. Rapeseed benefited from warmer-than-usual temperatures and from good seasonal precipitation in the November-January period. These conditions allowed late planted rapeseed to catch up in their development. Still, there were farm reports that select rapeseed fields were reseeded in the spring due to frost/dryness. Spring weather was generally favorable and helped for a recovery of the depleted soil moisture reserves.

Farmers reduced area under rapeseed cultivation for two reasons: increasing pressure from pests due to the EU ban on neonicotinoids, and the limited marketing window. According to the Bulgarian Ministry of Agriculture's (MinAg) tentative data, rapeseed planting as of early December 2022 was at 112,000 HA (16 percent lower than a year before) while after reseeding in the spring, as of June 1, the areas dropped to 94,000 HA (27 percent lower compared to a year before) (MinAg Bulletin #22), (Table 1). Private estimates for area are higher at up to 110,000 HA. The FAS Sofia estimate for rapeseed area is currently at 98,000 HA (Table 2).

Due to the good start of the season and favorable spring weather, the expectations for average yields are increased above MY2021/22 average yield of 2.32 MT/HA. Independent crop observations ([Agroportal.bg](#)) show yields of 2.54 MT/HA with wide variations in country's regions from 1.5 MT to 4.0 MT/HA. The most recent EU estimates ([MARS June 2023 Bulletin Vol.31 №6](#)) are for 2.78 MT/HA while the most optimistic private estimates reach as high 3.0 MT/HA. The current FAS Sofia projection is for 2.8 MT/HA compared to an earlier expectation of 2.6 MT/HA. However, due to lower area for harvesting, total production is forecast at 275,000 MT.

Sunflower: Sunflower planting was late and lagged behind the usual planting window due to rainy and cold conditions which prevented field work. Farmers were able to catch up with planting that was delayed until early June. According to the MinAg tentative data, area under sunflower as of June 15 (MinAg Bulletin #24) was only 0.7 percent below that planted a year ago. Sunflower is already at the upper level of area planted allowed by crop rotation practices. Despite softening of sunflower prices since March, most farmers prefer to plant sunflower as a “safer” crop during possible summer droughts, and mainly due to lower production costs compared to corn.

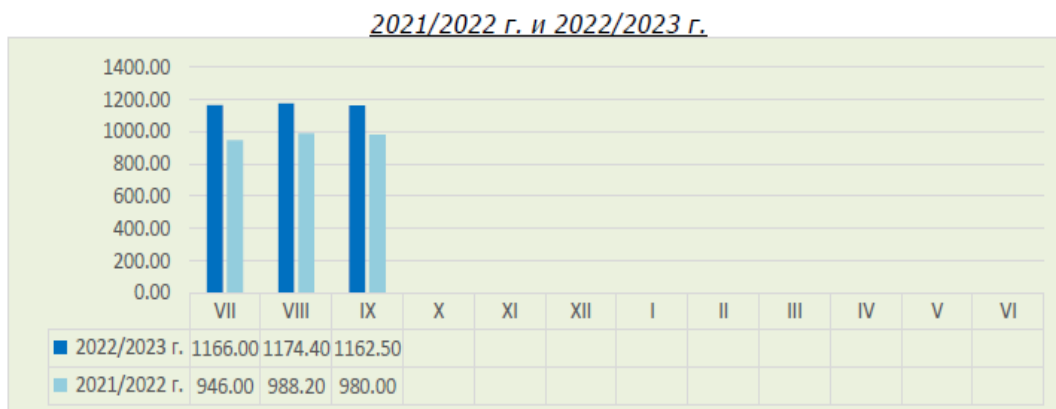
Despite late start of the season, current climate conditions are very favorable and the expectations for average yields are increased above the MY2021/22 average yield of 2.34 MT/HA. The most recent EU estimates are for 2.45 MT/HA (MARS) while private estimates are at around 2.5 MT/HA. The current FAS Sofia projection is more cautious at 2.4 MT/HA, due to unknowns related to growing conditions in the critical month of July. This translates in total forecast production of 2.2 MMT (Table 2).

### **MY2022/23 Production Estimates, Trade and Use**

Final production data is showed in Table 1, based on Eurostat.

Rapeseed: Rapeseed has a short trading window and no trade/market prices have been reported since October 2022.

### **Graph 1. Rapeseed Monthly Market Prices, MY2022/23 vs MY2021/22 in Bulgarian Leva (BGN)/MT**



\*The chart shows prices for the MY, which begins in July, with MY 2022/23 in dark blue and MY 2021/22 in light blue.

Source: Bulgarian Ministry of Agriculture Monitoring of Commodity Markets Weekly Bulletins

As usual, rapeseed exports took place in post-harvest time and did not change since the last FAS Sofia GAIN report, stagnating at 260,000 MT as of June 16 (MinAg data, Table 3) – of which almost 200,000 MT went to the EU market and 60,000 MT to non-EU. Most of this volume (153,000 MT) was exported in the first quarter of the MY (Trade Data Monitor/TDM data) while exports for the first three quarters were at 219,867 MT. The main destinations were the Netherlands, Belgium, and Spain. Exports to date were 4 percent less than a year ago (270,000 MT) due to lower availability (Table 5). Export demand has been better than that for crush to date.

Local crushers imported more price-competitive imports to complement weaker domestic suppliers. Imports as of June 16 grew to 96,000 MT compared to 52,000 MT in the previous season, or by 86 percent (Table 5). About half of these imports came from non-EU origins (Table 3). According to TDM, imports of rapeseed in the first three quarters of MY2022/23 were at 42,647 MT, almost all from Ukraine. EU Customs data as of June 20, also shows Bulgarian imports from third countries at 41,121 MT of rapeseed. Imports accelerated later in the season, in April/early May, due to increasing demand for crush and traders' efforts to accumulate stocks in a situation of rapeseed deficit in the EU. Rapeseed imports from Ukraine were banned in Bulgaria and four more Eastern European countries since May, and the ban will be in place until September 15.

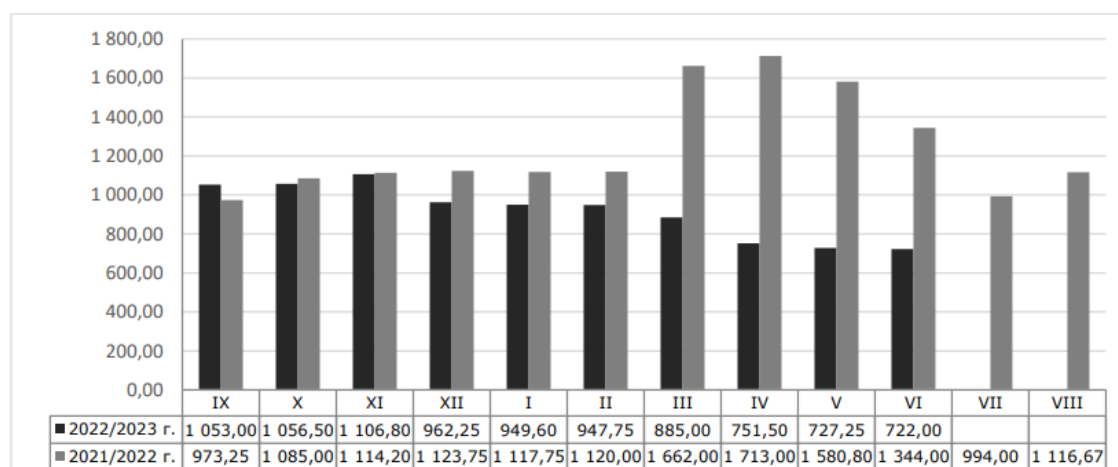
Despite the attractive prices of processed rapeseed products and new investments in crushing facilities, crush in MY2022/23 has been impacted by the lower supplies. According to the MinAg data as of the end of May (Table 5), crush use was reported to be 40 percent lower than in the previous season.

Accelerated imports and depressed crush led to accumulation of more stocks. As of the end of May, ending stocks were reported at 54,000 MT or more than double than a year ago (Table 5).

**Sunflower:** Farm-gate sunflower seed prices have softened after their peaks in the summer of 2022. Since October 2022 they have declined below the levels in MY2021/22, with very high gap in prices since March when prices became half or less than the levels a year ago. For many, these sharply lower prices meant sales at a loss, under the production costs. Pressured by higher production costs, farmers preferred to hold onto sunflower seed stocks in expectation of more attractive prices. However, full warehouses and favorable spring growing conditions motivated farmers to unlock their sales even at unattractive prices in order to free up storage for the upcoming harvest. Exports have accelerated and stocks began to decline.

**Graph 2. Sunflower Monthly Market Prices, MY2022/23 vs MY2021/22 in BGN/MT**

2021/2022 г. и 2022/2023 г.



\*The chart shows prices for the MY, which begins in September, with MY2022/23 in dark black and MY2021/22 in grey.

Source: Bulgarian Ministry of Agriculture Monitoring of Commodity Markets Weekly Bulletins

Exports since the beginning of the MY have been slow and reported by the MinAg at only 146,000 MT at the end of January. It accelerated later in the season and as of June 16 it reached 278,156 MT (Table 3). As of end of May, exports were 70 percent more than a year ago (Table 5). According to EU Customs data as of June 20, Bulgaria exported 248,982 MT to non-EU market with a share of 45 percent in total EU exports, closely following Romania (46 percent share). Main export markets in the EU are the Netherlands, Germany, Spain, and outside the EU - China, Turkey, the United States, and the United Kingdom. Note: TDM reports higher exports of sunflower in the first half of MY2022/23 at 369,943 MT.

Imports of sunflower in the current MY throughout June 18 were reported at 673,052 MT (Table 3 and 5) which was 3 percent lower than a year ago; the data refuted the claims for oversupply caused by excessive imports. Imports in the first half of the MY were at 539,846 MT (TDM data).

The EU Customs data as of June 18 (Table 3) shows higher imports from non-EU origins at 830,929 MT (Note: EU Customs data shows imports since July 1, the MinAg data shows imports since September 1). According to these statistics, Bulgaria accounted for 38 percent of total imports of sunflower imports in the EU and is the top EU importer. Imports from Ukraine were driven by price and quality competitiveness, and dynamic domestic crush demand.

Local crushers have taken advantage of Ukrainian imports and the crush increased, along with exports of processed products. As of the end of May, the MinAg reported 12 percent higher crush (Table 5). However, sunflower imports from Ukraine were banned in Bulgaria and four more Eastern European countries since May, as the ban will be in place until September 15. This is expected to negatively impact crush as well as dehulling seeds industry for the remaining of the MY. The growth in crush has already slowed down and the earlier growth in dehulling volume has already turned into a decline of 7 percent as of the end of May.

Despite market and farmers' talk about significant stocks, accelerating exports, ban on imports, and still active crush, have resulted in 8 percent lower stocks at the end of May this year compared to a year ago (Table 5).

### **MY2022/23 Processed Oilseed Products Trade**

Soybean Meal and Oil: Bulgaria is a net importer of soybean products due to limited crush capacity and tiny local production. According to TDM, in the first half of the MY, imports of soybean meal (October 2022 – March 2023) were at about 54,483 MT compared to 69,919 MT in the corresponding period a year ago – a decline of about 22 percent (Table 4). This indicates lower import demand due to challenges of the domestic poultry, livestock, and dairy industries. Imports were affected by about \$100/MT higher average import price in this period.

Imports of soybean oil also decreased to only 6,980 MT for October 2022/March 2023 or almost half of imports a year before - 14,526 MT, due to \$100+/MT higher import prices. Serbia and Greece remained the main sources for imports.

Rapeseed Meal and Oil: Imports of rapeseed meal in the first three quarters of the MY were at 6,917 MT, mainly from Romania (Table 4), or 10 percent lower compared to 7,660 MT in the corresponding period in MY2021/22. The reason is again the challenges of the domestic animal farms. Exports of

rapeseed meal for the same periods declined to 19,474 MT in MY2022/23 from 42,577 MT in MY2021/22, or by 55 percent due to lower crush and exportable supplies. Israel is the main export market in MY2022/23 to date.

Imports of rapeseed oil for July 2022/March 2023 were at 2,391 MT, mainly from Ukraine (Table 4). This is a sharp decline of 78 percent compared to the corresponding period in 2021 (10,971 MT) when the main origin was Romania, due to higher import prices and reduced local demand for biofuels.

Exports of rapeseed oil for the same period in MY2022/23 were at 11,197 MT compared to 23,635 MT in MY2021/22, or downward by 53 percent, mainly due to lower domestic crush and decline in exportable supplies.

Sunflower Meal and Oil: Bulgaria became a net exporter of processed sunflower products due to steady and expanding crush. The country also imported sunflower meal for re-exports/transshipments, and crude sunflower oil for refining and exports. Trade with sunflower processed products was not directly affected by any trade bans but slowing crush from June – due to the import ban on sunflower seeds from Ukraine until September 15 – is likely to lower exports of meal/oil in the second half of the MY.

#### Exports:

TDM data for sunflower meal exports in the first half of MY2022/23 (October 2022-March 2023) show 427,134 MT, 14 percent more than in MY2021/22 (373,640 MT) (Table 4). The main markets were China (285,232 MT), followed by Greece, the Netherlands, and Romania. Exports continued to grow and as of June 18 (EU Customs data), it reached 578,877 MT, 62 percent of total EU exports to third market destinations which made the country a leading EU exporter.

Exports of sunflower oil also increased and in the first half of MY2022/23 it was at 419,426 MT, 30 percent more than in MY2021/22 (323,207 MT) (Table 4). The main markets were India (154,037 MT), followed by Spain, Greece, Italy, and Iraq. As of June 18, exports of sunflower oil exceeded 484,000 MT and accounted for 43 percent of total EU exports (EU Customs) making Bulgaria a top EU exporter of oil too.

#### Imports:

Imports of sunflower meal in the first half of MY2022/23 were at 101,452 MT (TDM) compared to only 14,830 MT in the corresponding period a year ago. It is believed that almost 7-fold growth is related to some re-exports or transshipments. Almost all imports originated from Ukraine and Moldova. Per EU Customs, as of June 18, Bulgaria imported 143,810 MT of sunflower meal or only 6 percent of total EU imports from third countries.

Imports of sunflower oil in the first half of MY2022/23 were at 154,483 MT (TDM) compared to 58,692 MT in the corresponding period a year ago, or a growth of 163 percent. More than 92 percent of these imports came from Ukraine, and it is reported to be crude oil for further refining and re-exports. Per EU Customs, as of June 18, Bulgaria imported 221,546 MT of sunflower oil from non-EU origins or 14 percent of total EU imports, following Poland and Spain.

## Appendix.

**Table 1. Oilseed Crops Final Production Data MY2022/23 and MY2023/24, June 2023**

| Crops     | Area Harvested (000 HA) |           | Production (000 MT) |           |
|-----------|-------------------------|-----------|---------------------|-----------|
|           | MY2022/23               | MY2023/24 | MY2022/23           | MY2023/24 |
| Rapeseed  | 129.00                  | 94.00     | 299.90              | NA        |
| Sunflower | 916.90                  | 821.00    | 2,147.24            | NA        |
| Soybeans  | 9.00                    | 9.00      | 10.18               | NA        |
| Total     | 1,054.00                | 924.00    | 2,457.32            | NA        |

Source: Eurostat data based on EU standard moisture content- updated as of June 2023

**Table 2. FAS Sofia Oilseed Production Forecast MY2023/24, June 2023**

| Crops     | Area Planted (000 HA) | Production (000 MT) |
|-----------|-----------------------|---------------------|
| Rapeseed  | 98.0                  | 275.0               |
| Sunflower | 915.0                 | 2,200.0             |
| Soybeans  | 9.0                   | 10.0                |
| Total     | 1,022.00              | 2,485.00            |

Source: FAS Sofia

**Table 3: MY 2021/22 Trade in Major Oilseed Crops, as of June 16, 2023**

| Types of Oilseeds | Imports, MT                                                                                                              | Exports, MT                                                                                                                                                                              |
|-------------------|--------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Rapeseed          | 96,225 MT<br><br>EU Customs <a href="#">data</a> (June 18) shows Bulgarian imports of rapeseed from non-EU at 41,121 MT  | 260,346 MT (of which 200,141 MT to the EU and 60,205 MT to non-EU markets)                                                                                                               |
| Sunflower         | 673,052 MT<br><br>EU Customs <a href="#">data</a> June 18 shows Bulgarian imports of sunflower from non-EU at 830,929 MT | 278,156 MT (of which 227,289 MT to the EU and 50,867 MT to non-EU markets)<br><br>EU Customs <a href="#">data</a> (June 18) shows Bulgarian exports of sunflower to non-EU at 248,982 MT |

Source: MinAg weekly bulletins;

Note: The Bulgarian MinAg uses September 1-August 31 as a MY for sunflower.

**Table 4: MY2022/23 Trade in Major Oilseed Processed Products, as of March 2023**

| Types of Oilseeds             | Imports, MT                          | Exports, MT                                                 |
|-------------------------------|--------------------------------------|-------------------------------------------------------------|
| Rapeseed Meal<br>(July-March) | 6,917 MT:<br>- 6,774 MT from Romania | 19,474 MT:<br>- 13,067 MT to Israel<br>- 2,431 MT to Greece |
| Rapeseed Oil<br>(July-March)  | 2,391 MT:<br>- 1,464 MT from Ukraine | 11,197 MT:<br>- 9,182 MT to Romania                         |

|                                   |                                                                                                                                                                                                                                         |                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
|-----------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Sunflower Meal<br>(October-March) | 101,452 MT:<br><ul style="list-style-type: none"> <li>- 84,447 MT from Ukraine</li> <li>- 13,097 MT from Moldova</li> </ul> EU Customs <a href="#">data</a> June 18 shows Bulgarian imports of sunflower meal from non-EU at 143,810 MT | 427,134 MT:<br><ul style="list-style-type: none"> <li>- 285,232 MT to China</li> <li>- 24,028 MT to Greece</li> <li>- 11,538 MT to the Netherlands</li> <li>- 16,989 MT to Romania</li> </ul> EU Customs <a href="#">data</a> June 18 shows Bulgarian exports of sunflower meal to non-EU at 578,877 MT                                                                                                                                                    |
| Sunflower Oil<br>(October-March)  | 154,483 MT:<br><ul style="list-style-type: none"> <li>- 141,419 MT from Ukraine</li> <li>- 8,509 MT from Romania</li> </ul> EU Customs <a href="#">data</a> June 18 shows Bulgarian imports of sunflower oil from non-EU at 221,546 MT  | 419,426 MT:<br><ul style="list-style-type: none"> <li>- 154,037 MT to India</li> <li>- 51,042 MT to Spain</li> <li>- 44,254 MT to Greece</li> <li>- 32,835 MT to Italy</li> <li>- 29,940 MT to Iraq</li> <li>- 20,999 MT to Egypt</li> <li>- 18,000 MT to South Africa</li> <li>- 10,469 MT to Cyprus</li> <li>- 9,222 MT to Romania</li> </ul> EU Customs <a href="#">data</a> June 18 shows Bulgarian exports of sunflower oil from non-EU at 484,052 MT |
| Soybean Meal (October-March)      | 54,483 MT:<br><ul style="list-style-type: none"> <li>- 43,437 MT from Romania</li> </ul>                                                                                                                                                | 218 MT                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
| Soybean Oil (October-March)       | 6,980 MT:<br><ul style="list-style-type: none"> <li>- 5,271 from Serbia</li> </ul>                                                                                                                                                      | 338 MT                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
| Source: Trade Data Monitor (TDM)  |                                                                                                                                                                                                                                         |                                                                                                                                                                                                                                                                                                                                                                                                                                                            |

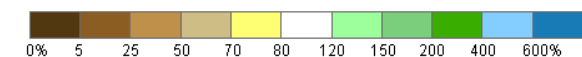
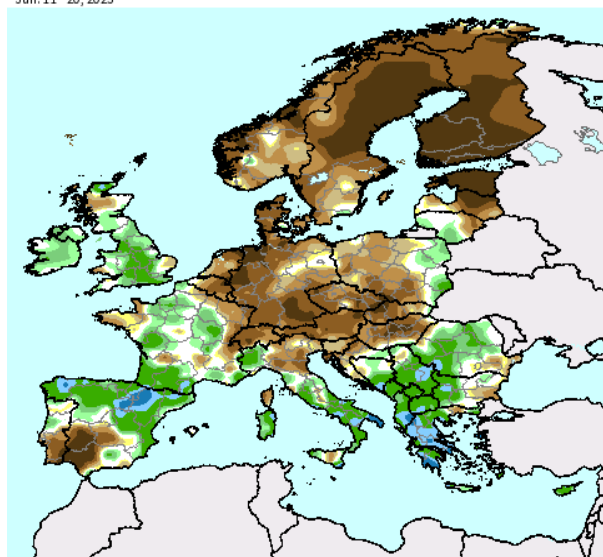
**Table 5. Oilseeds Exports, Imports, Stocks and Use as of May 31 in MY2022/23 and MY2021/22, in MT**

| Types of Grains and Use | MY2022/23 | MY2021/22 | Change, MY 2022/23 to MY 2021/22 in Percent |
|-------------------------|-----------|-----------|---------------------------------------------|
| Rapeseed Imports        | 96,225    | 51,665    | +86%                                        |
| Rapeseed Exports        | 259,096   | 270,890   | -4%                                         |
| Rapeseed Crush Use      | 80,260    | 130,880   | -40%                                        |
| Rapeseed Stocks         | 54,997    | 24,211    | +127%                                       |
|                         |           |           |                                             |
| Sunflower Imports       | 666,771   | 690,134   | -3%                                         |
| Sunflower Exports       | 258,164   | 151,891   | +70%                                        |
| Sunflower Crush         | 1,328,400 | 1,189,900 | +12%                                        |

|                                                                                        |         |           |     |
|----------------------------------------------------------------------------------------|---------|-----------|-----|
| Use                                                                                    |         |           |     |
| Sunflower for Shelling/Dehulling Use                                                   | 426,000 | 456,200   | -7% |
| Sunflower Stocks                                                                       | 991,531 | 1,080,142 | -8% |
| Source: MinAg Weekly Grains and Oilseeds Market Bulletins 2022 and 2023, as of May 31. |         |           |     |

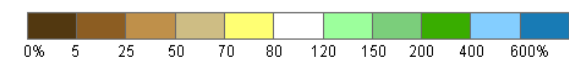
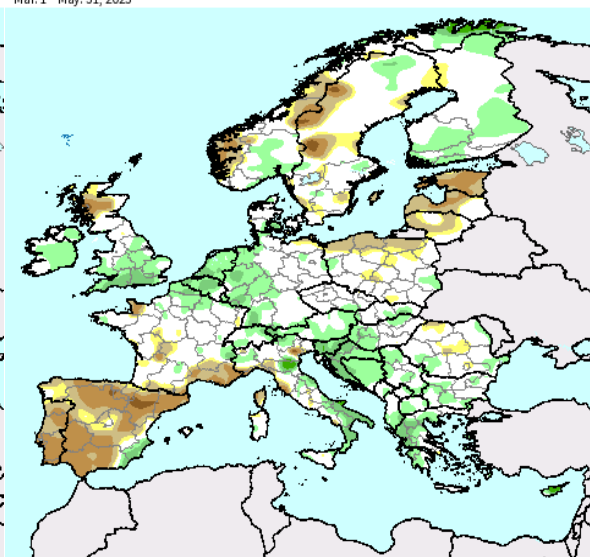
**Map 1: USDA [Crop Explorer](#), Europe, Percent Normal Precipitation, June 11-20, 2023 and for March 1, 2023 - May 31, 2023; Percent of Soil Moisture June 18, 2023**

Percent of Normal Precipitation (CPC)  
Jun. 11 - 20, 2023



Source: NOAA/CPC  
<http://www.cpc.ncep.noaa.gov/>

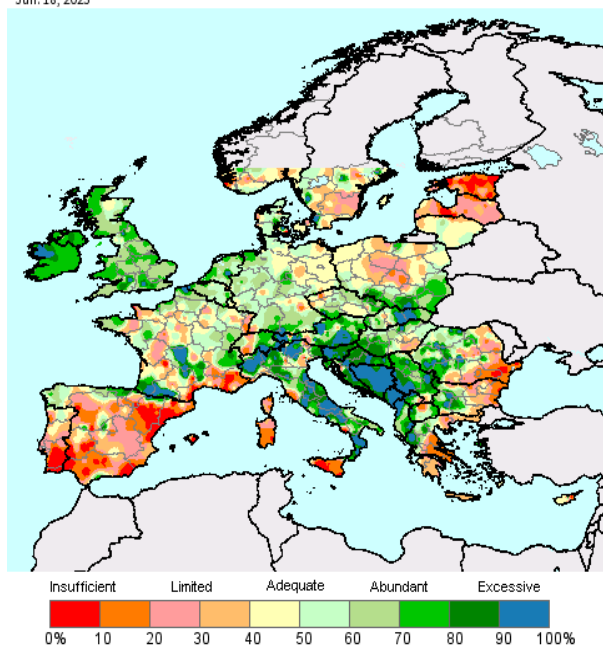
Percent of Normal Precipitation 3-Month (CPC)  
Mar.1 - May. 31, 2023



Source: NOAA/CPC  
<http://www.cpc.ncep.noaa.gov/>

## Percent Soil Moisture (WMO)

Jun. 18, 2023



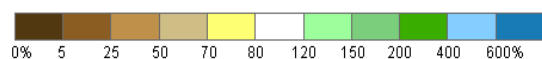
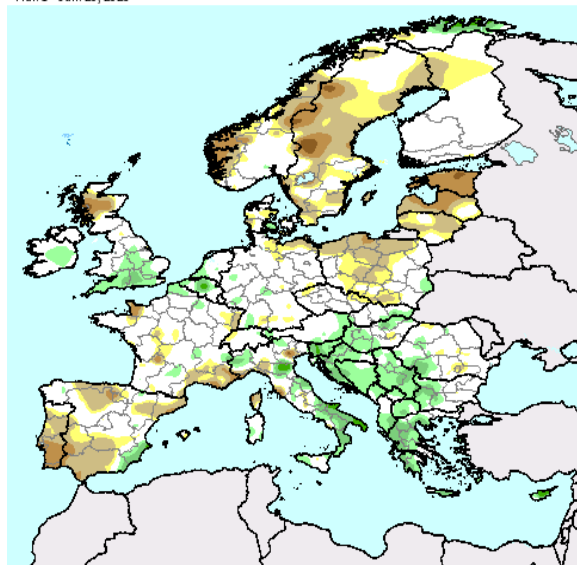
USDA Foreign Agricultural Service  
U.S. DEPARTMENT OF AGRICULTURE

Source: World Meteorological Organization  
<http://www.nws.noaa.gov/isccs/nwsgtfs.html>

## Map 2: USDA Crop Explorer, Europe (including Bulgaria), Seasonal Percent of Normal Precipitation March 1- June 20, 2023 and Precipitation April 1- May 31, 2023

### Seasonal Percent of Normal Precipitation (CPC)

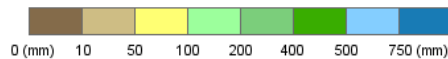
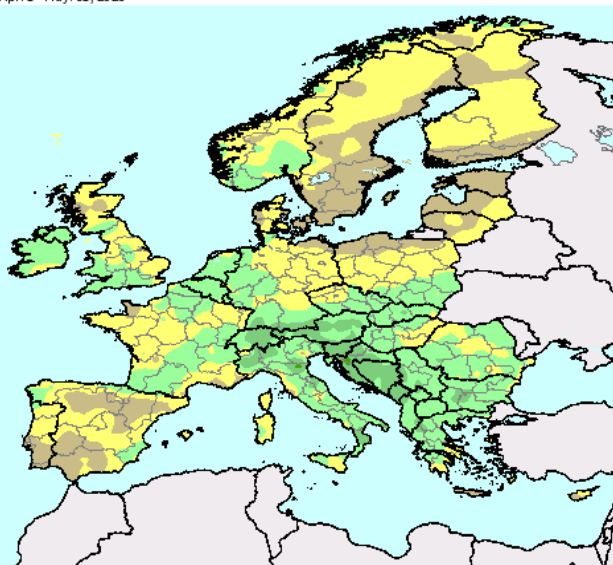
Mar. 1 - Jun. 20, 2023



Source: NOAA/CPC  
<http://www.cpc.ncep.noaa.gov/>

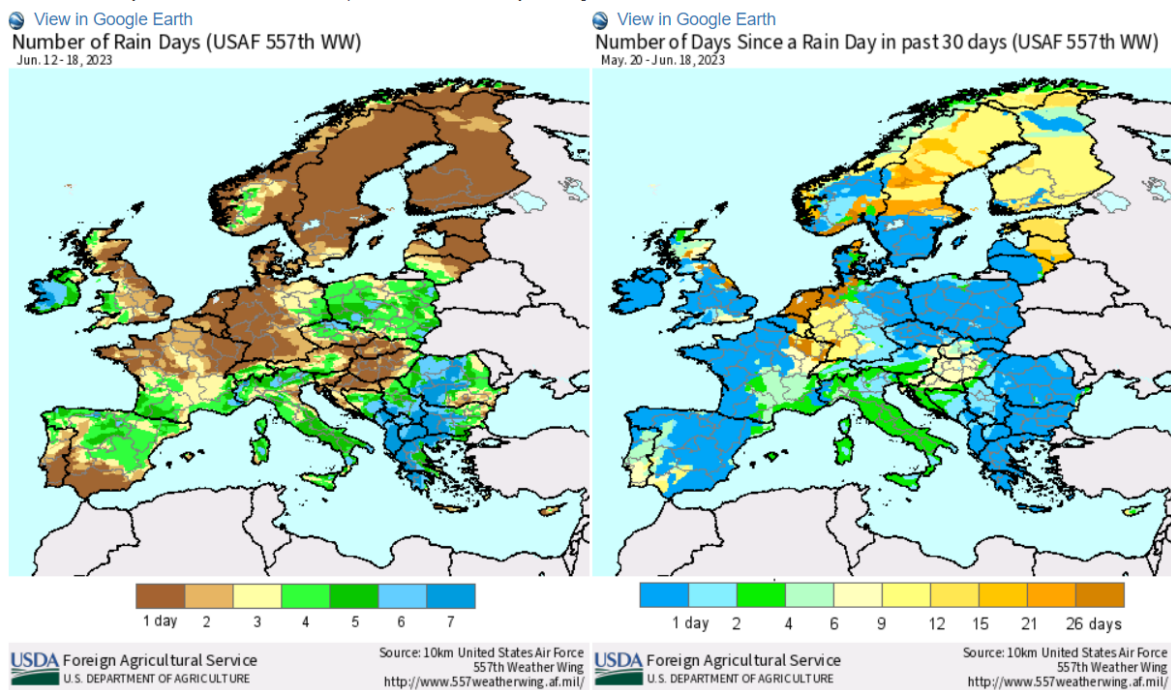
### Precipitation 2-Month (CPC)

Apr. 1 - May. 31, 2023

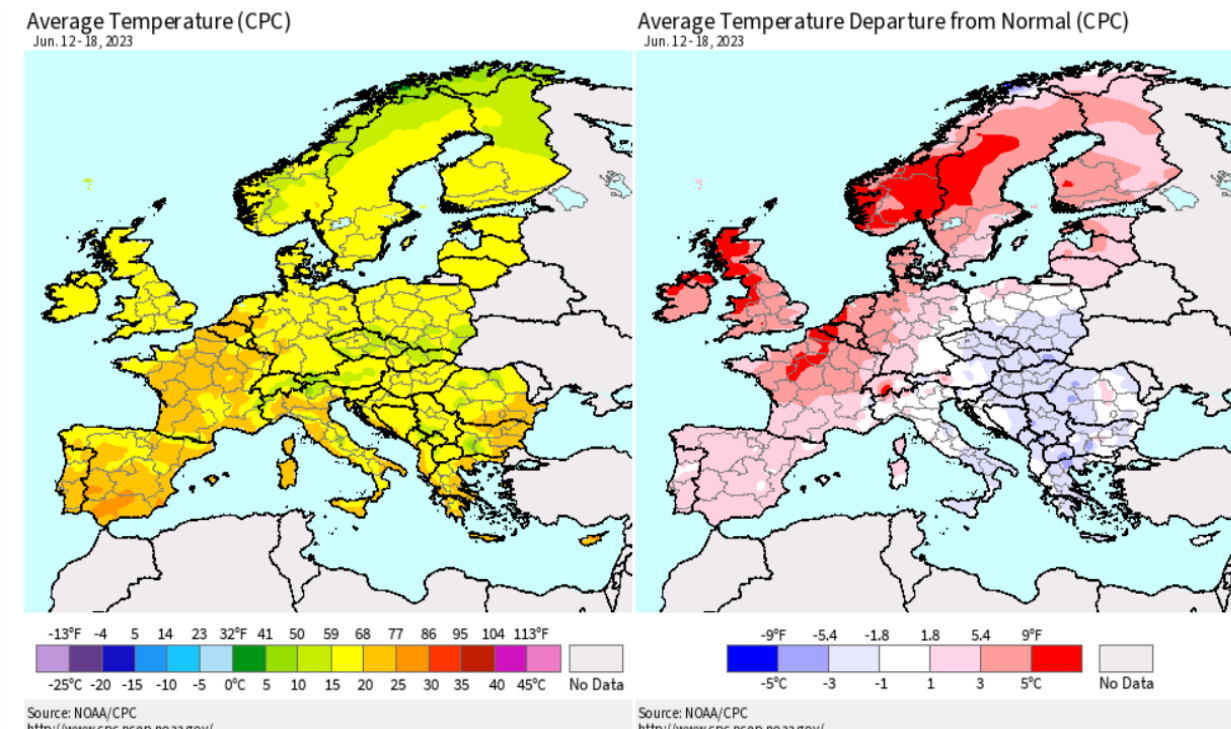


Source: NOAA/CPC  
<http://www.cpc.ncep.noaa.gov/>

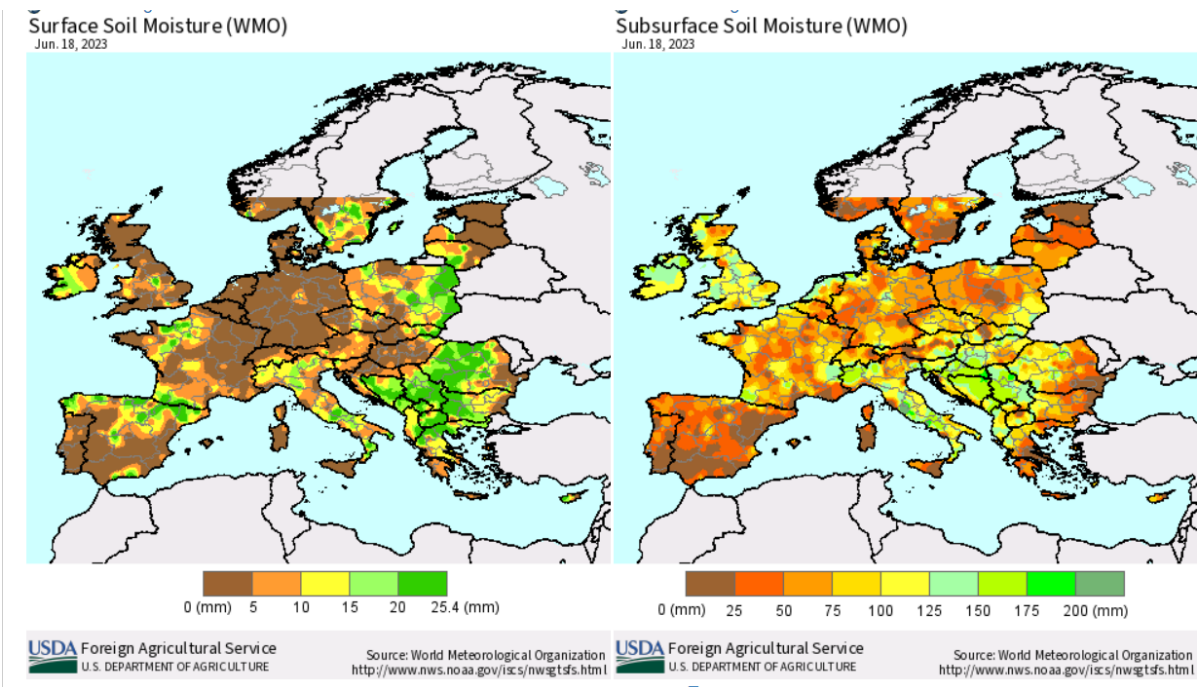
**Map 3: USDA Crop Explorer, Europe (including Bulgaria), Number of Rain Days June 12-18, 2023 and in the past 30 days May 20 -June 18, 2023**



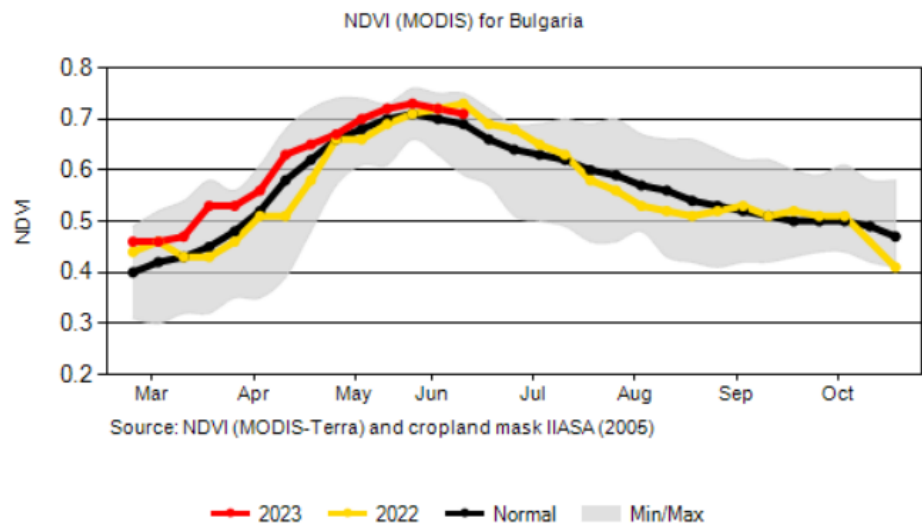
**Map 4: USDA Crop Explorer, Europe (including Bulgaria), Average Temperature and Departure from Normal June 12-18, 2023**

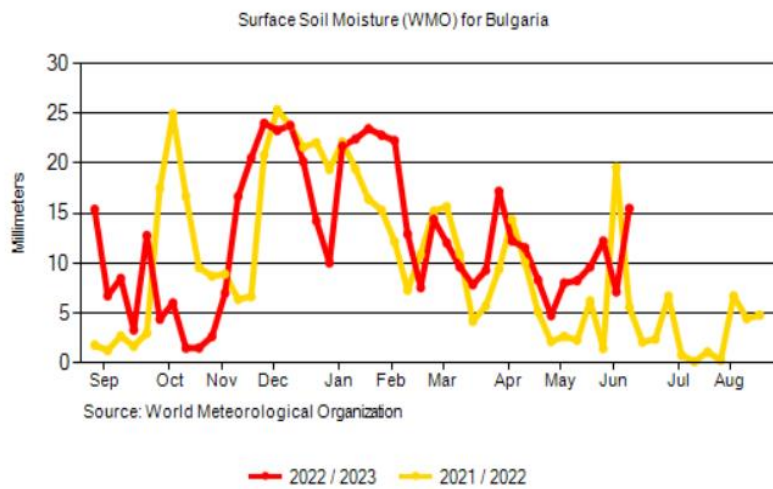
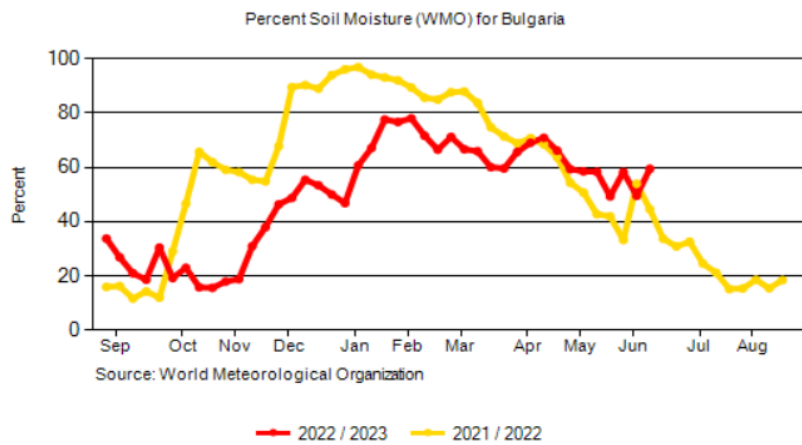
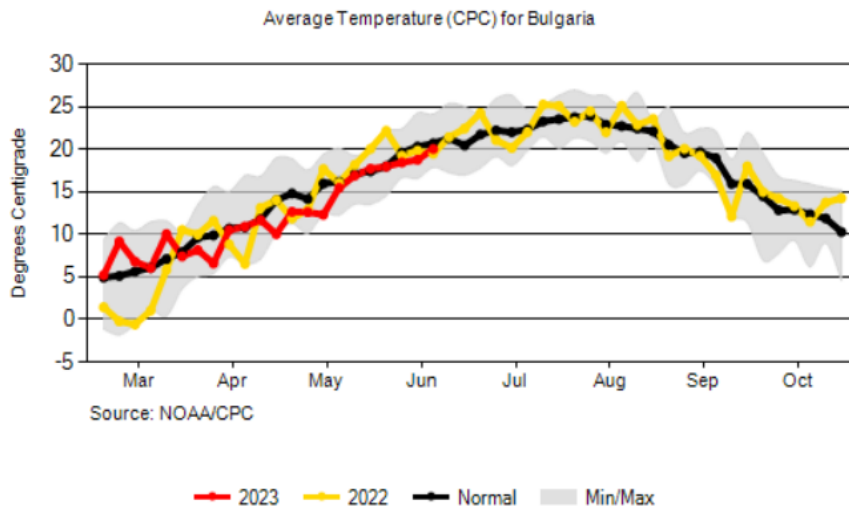


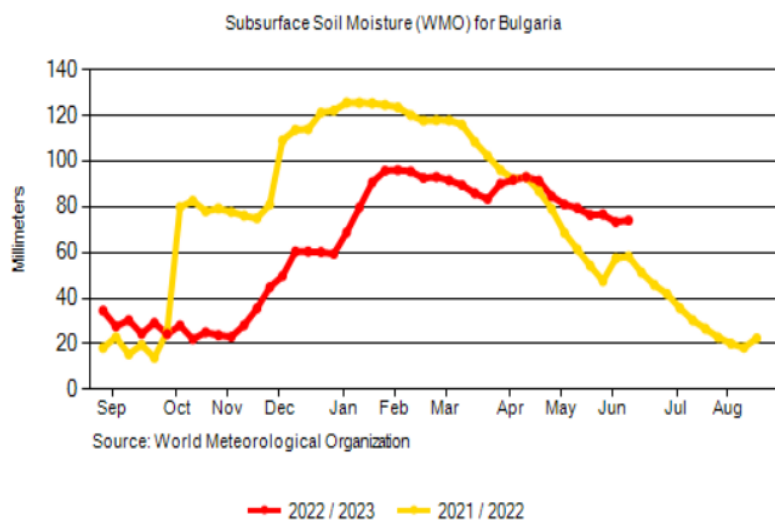
Map 5: USDA Crop Explorer, Europe (including Bulgaria), Surface and Subsurface Soil Moisture June 18, 2023



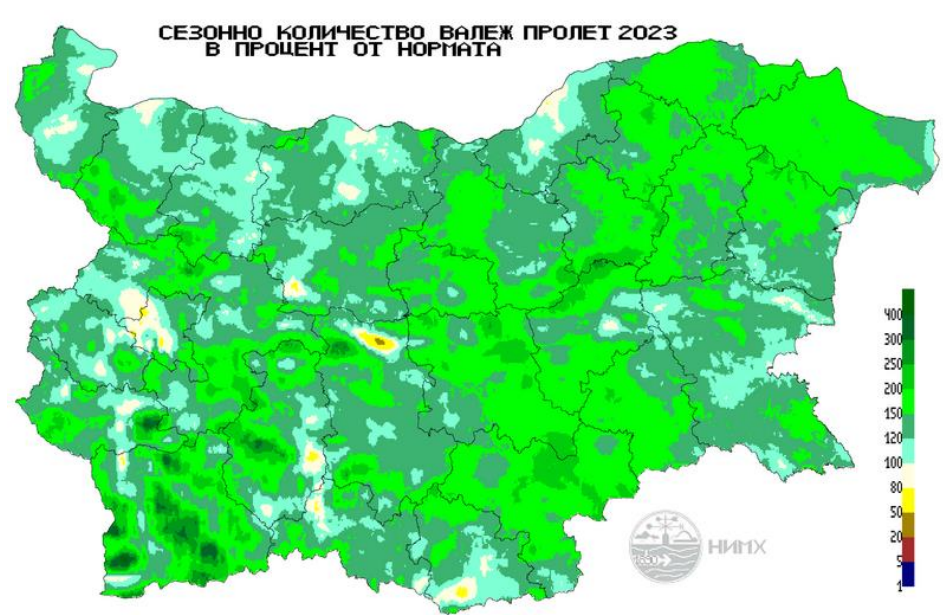
Map 6. USDA Crop Explorer, Bulgaria, Vegetation Index (NDVI), Average Temperature, Percent of Soil Moisture, Surface and Subsurface Soil Moisture, as of June 2023



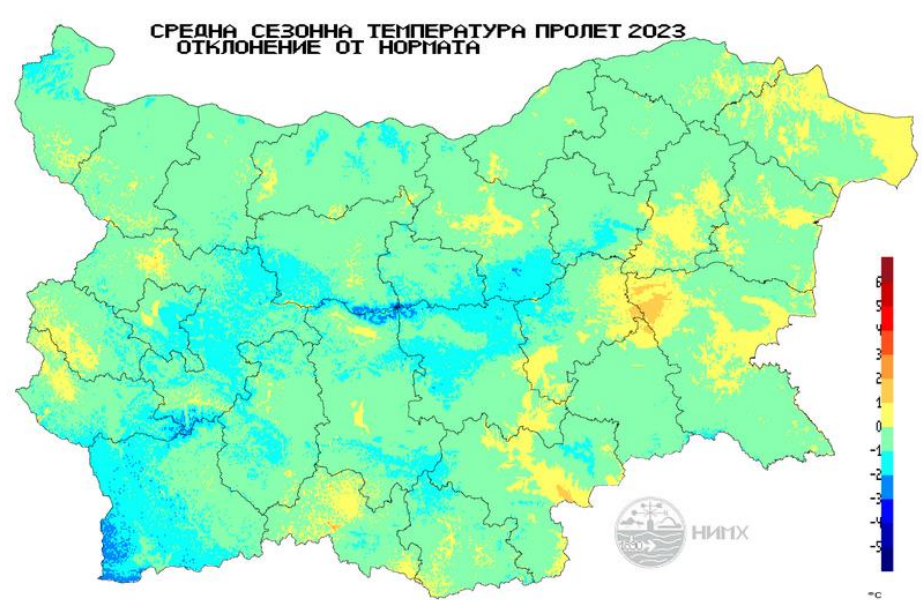




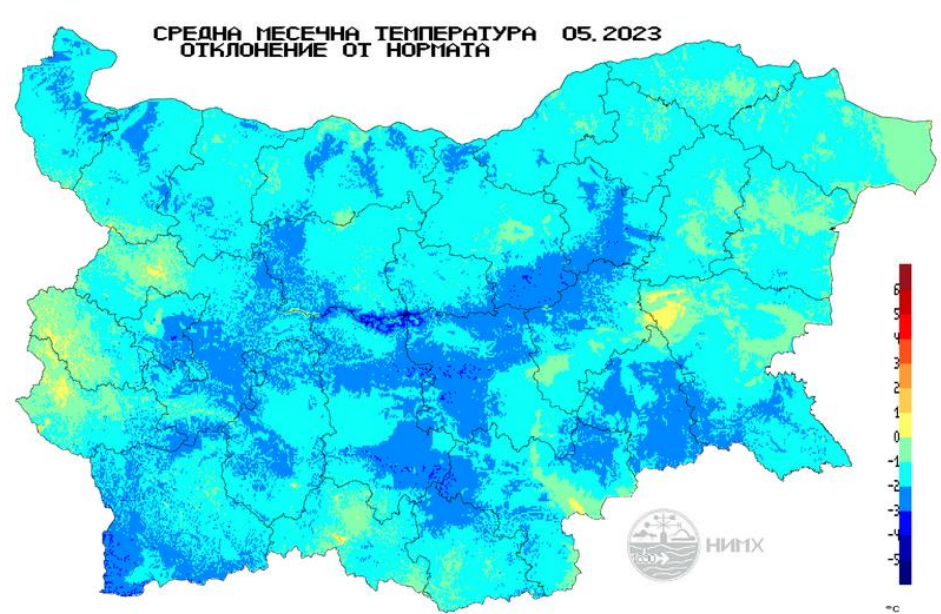
**Map 7. Seasonal Rainfall Spring 2023 as a Percent of the Norm,** Source: [Bulgarian National Institute of Meteorology and Hydrology](#)



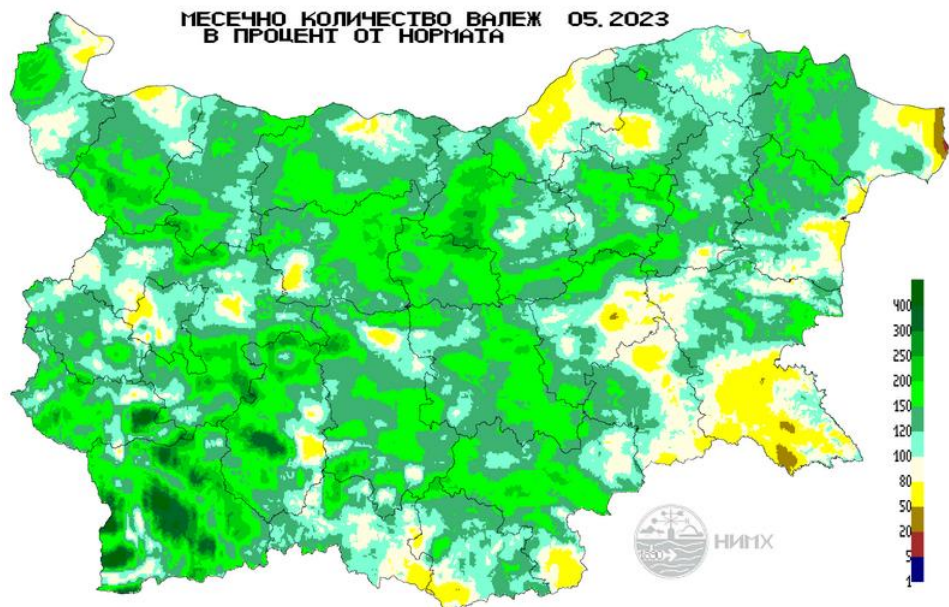
**Map 8: Spring Season 2023: Deviation from the Average Seasonal Temperature Norm, Source: [Bulgarian National Institute of Meteorology and Hydrology](#)**



**Map 9. May 2023, Deviation from the Average Monthly Temperature and Rainfall as Percent of the Norm, Source: [Bulgarian National Institute of Meteorology and Hydrology](#)**



МЕСЕЧНО КОЛИЧЕСТВО ВАЛЕЖ 05.2023  
В ПРОЦЕНТ ОТ НОРМАТА



**Attachments:**

No Attachments.